

the preceding 12 years. The easiest way to do this is by following the Dow-Jones industrial average.

At the 1950 low, the Dow-Jones industrial average stood at 161.60. It climbed to 293.79 by the end of 1952, dropped to 255.49 in mid-1953, then climbed steadily to 521.04 in 1956, from which level it drifted down to around 420 at the end of 1957.

From 420 in 1957, the Dow-Jones average rose to well over 650 in 1959, made some up-and-down zigzags and hit a late-1960 low of 566.05. From that base, it shot up to a then all-time peak of 734.91 on December 13, 1961.

As the market moved upward through 1961, some Wall Street veterans dusted off the oft-quoted pre-1929 crash saying that the stock market was discounting not only the future, but the hereafter as well.

Many years ago, the per-share price *vs.* per-share earnings ratio was widely—though unofficially—adopted as a reliable rule-of-thumb indicator of stock values. “Ten times earnings” was long considered the maximum permissible price one could pay for a stock and still reasonably expect to make a profit.

Then, in the late 1920s, GM-Du Pont’s John J. Raskob—whose outlook was judged quite bullish—ventured the opinion that certain stocks might be worth as much as 15 times their per-share earnings. After the 1929 crash, ratios were, of course, very much lower and, even as late as 1950, the price-earnings ratios of the stocks listed in the Dow-Jones industrial index averaged out to about 6:1.

Views on the price-earnings ratio underwent considerable revision in recent years. Some knowledgeable investors allowed that in a rapidly burgeoning economy, stocks of especially healthy companies might reasonably sell for as much as 20 times their per-share earnings. Other professional investors argued persuasively that when healthy companies had tangible assets with net, per-share replacement or liquidation values in excess of per-share prices, the importance of the price-earnings ratio would logically dwindle.